PLAYBOOK 02 · TIERS 1–3

Health, Risk, Contraction & Cancellation

Trigger-Based Retention Management

Purpose

Catch risk before it becomes churn, and give every CSM a defined, unambiguous process for what to do the moment a signal fires — no guessing, no waiting for the account to escalate itself.

Risk Trigger Matrix

Signal	Response	Response Window
Usage drop (30%+ over 30 days)	CSM outreach	Within 3 business days
No login / no active use 30+ days	CSM call	Same week
Support ticket spike or severity escalation	CSM notified, joins next update	Same day
Key stakeholder departure (champion leaves)	Re-engagement plan with new stakeholder	Within 1 week
Renewal window opens (90/60/30 days out)	Structured check-in cadence begins	At 90 days
Missed onboarding milestone	Joint CS + Implementation review	Within 1 week

Contraction — Definition & Process

Definition: revenue lost from a customer who *stays* — a downgrade, seat reduction, or dropped module — distinct from churn, where the customer leaves entirely. This distinction is load-bearing for the NRR formula: (starting ARR + expansion − contraction − churn) / starting ARR.

What counts: seat count reduction on renewal; downgrading tiers; dropping an add-on module; any renewal landing below the prior contract value while still renewing.

Process: 1. **Trigger:** a renewal quote coming in below current contract value fires before the renewal date, not after signature — same trigger logic as growth, run in reverse. 2. **Owner:** the named CSM surfaces it the moment it's visible, often during the renewal conversation itself, sometimes earlier via usage data. 3. **Decision point:** is this contraction an early churn signal, or a genuine steady-state right-sizing? That determines the response — churn-risk contraction escalates like any retention trigger; steady-state contraction gets logged and reflected in a tier reassessment. 4. **Tier reassessment:** contraction that drops an account below its tier's revenue band triggers the same formal tier-movement review used for growth. Moving an account down a tier is never silent.

Cancellation — Definition & Process

Definition: full loss of the account. This is what counts as churn in the NRR formula.

Process: 1. **Signal received** — explicit (customer states intent) or implicit (non-renewal past the auto-renew window). 2. **Save attempt**, if there's runway. This is exactly why the 90/60/30-day renewal trigger matters — it creates the window for a save to happen at all. Owner is the named CSM; anything requiring a discount or contract concession routes to Sales. 3. **If cancellation holds:** an exit conversation captures why — not optional busywork, the only real source of pattern data on aggregate churn causes. 4. **Revenue accounting:** full ARR moves to the churn line, not contraction. Finance/RevOps owns the calculation; CS owns flagging it in time to be accurate. 5. **Downstream cleanup:** offboarding (access removal, data handling per contract) has an explicit named owner — Support or Implementation depending on complexity — so it never falls to whoever last touched the account.

Escalation Path

Any account tripping 2+ risk triggers within a rolling 60-day window gets a manual review, regardless of tier — pattern-level risk overrides waiting for a single trigger to resolve on its own.

Artifacts

- Risk trigger matrix (above), embedded in the CS platform as automated rules
- Renewal-window cadence tracker (90/60/30)
- Exit conversation / exit survey template
- Tier-reassessment review template (up and down)

Alana Williams · Enterprise Implementation & AI Delivery Leadership · lana_christiana@yahoo.com